Response, recorded call to the customer care centre and SMS may be considered as activation of Credit Card.

(ii) In case of business credit cards, wherein the cards have been issued based on the application by a corporate or business entity, card-issuers shall seek explicit consent as above / send intimation as required under paragraph 20 respectively from / to the principal account holder (viz. corporate or business entity) unless specified otherwise in the agreement.

(iii) Similarly, with regard to retail credit cards, the requisite consent shall be sought from the principal cardholder and not from the add-on cardholders.

Provided that, for blocking of business or retail credit cards, either the actual cardholder or the principal cardholder can initiate the request.

(7) A card-issuer shall not report any credit information relating to a new credit card account to Credit Information Companies prior to activation of the card. Any credit information relating to such inactivated credit cards already reported to Credit Information Companies shall be withdrawn immediately.

(8) The consent for the cards issued or the other products / services offered along with the card shall be explicit and shall not be implied. In other words, the written consent of the applicant shall be required before issuing a credit card. Alternatively, card-issuers may use other digital modes with multifactor authentication to obtain explicit customer consent. Such alternative digital modes, if any used by the card-issuer, shall be communicated to the Department of Regulation, Reserve Bank of India.

(9) Card-issuers shall ensure that the telemarketers they engage, comply with Directions / regulations on the subject issued by the Telecom Regulatory Authority of India (TRAI) from time to time while adhering to guidelines issued on “Unsolicited Commercial Communications – National Customer Preference Register (NCPR)”. The card-issuer’s representatives shall contact the customers only between 10:00 hrs and 19:00 hrs.

(10) The decision-making power for issue of credit card to a customer shall remain only with the card-issuer and the role of the Direct Sales Agent (DSA) / Direct

Marketing Agent (DMA) / other agents shall remain limited to soliciting / servicing the customer / account.

13. Underwriting Standards:

(1) Card-issuers shall ensure prudence while issuing credit cards and independently assess the credit risk while issuing cards to persons, taking into account independent financial means of applicants.

(2) As holding several credit cards enhances the total credit available to any consumer, card-issuers shall assess the credit limit for a credit card customer taking into consideration all the limits enjoyed by the cardholder from other entities on the basis of self-declaration / credit information obtained from a Credit Information Company, as appropriate. This shall be uniformly applied as per the board approved policy of the card-issuer.

(3) Card-issuers shall ensure complete transparency in the conversion of credit card transactions to Equated Monthly Instalments (EMIs) by clearly indicating the principal, interest and upfront discount provided by the merchant/card-issuer (to make it no cost), prior to the conversion. The same shall also be separately indicated in the credit card bill / statement. EMI conversion with interest component shall not be camouflaged as zero-interest / no-cost EMI.

(4) Card-issuers shall ensure that loans offered through credit cards are in compliance with the instructions on loans and advances issued by the Reserve Bank from time to time.

(5) Card-issuers shall ensure that the credit limit as sanctioned and advised to the cardholder is not breached at any point in time without seeking explicit consent from the cardholder.

Explanation: (i) Usage of a credit card beyond the sanctioned credit limit (i.e., overlimit) requires prior explicit consent of the cardholder, as a fraud minimisation mechanism. Further, a cardholder shall be given an option to enable or disable the option of overlimit through transaction control mechanism available on card-issuer's platforms such as internet, mobile banking, or any other suitable medium. Unless explicit consent has been obtained from the

cardholder for the overlimit facility, no overlimit can either be provided or overlimit charges be levied.

(ii) Interest or any charges / fees on the credit card shall not be factored in for the purpose of computing a cardholder's credit limit usage and levying overlimit charges

D. Types of credit cards

14. Card-issuers may issue credit cards / charge cards to individuals for personal use together with add-on cards wherever required.

15. Card-issuers may issue business credit cards to business entities / individuals for business expenses. The business credit cards may be issued as charge cards / corporate credit cards.

16. The card-issuers shall put in place effective mechanism to monitor end use of funds. Business credit cards can be issued together with add-on cards wherever required.

17. The liability of the corporate / business entity on account of business cards shall form part of their total assessed credits for compliance to instructions issued by the Reserve Bank of India (Non-Banking Financial Companies – Concentration Risk Management) Directions, 2025, as well as the Reserve Bank of India (Non-Banking Financial Companies – Income Recognition, Asset Classification and Provisioning) Directions, 2025, as amended from time to time.

18. The add-on cards shall be issued only to the persons specifically identified by the principal cardholder under both personal and business credit card categories. Add-on cards shall be issued with the clear understanding that the liability will be that of the principal cardholder. Similarly, while issuing corporate credit cards, the responsibilities and liabilities of the corporate and its employees shall be clearly specified. The liability of the corporate/business entity shall form part of its assessed credits.

    Explanation: The liability for dues shall rest solely with the principal cardholder and not with the add-on cardholders. However, settlement of dues towards international credit card shall also be governed as per FEMA regulations. Further,

the responsibility for making payments in case of business credit cards shall be governed by the terms and conditions agreed upon.

E. Closure of Credit Card

19. Any request for closure of a credit card shall be honoured within seven working days by the credit card-issuer, subject to payment of all dues by the cardholder. Subsequent to the closure of credit card, the cardholder shall be immediately notified about the closure through email, SMS, etc. Cardholders shall be provided option to submit request for closure of credit card account through multiple channels such as helpline, dedicated email-id, Interactive Voice Response (IVR), prominently visible link on the website, internet banking, mobile-app or any other mode. The card-issuer shall not insist on sending a closure request through post or any other means which may result in the delay of receipt of the request. Failure on the part of the card-issuers to complete the process of closure within seven working days shall result in a penalty of ₹500 per calendar day of delay payable to the cardholder, till the closure of the account provided there is no outstanding in the account.

    Explanation: In case payment towards dues is outstanding, the card-issuer shall provide details regarding such outstanding dues to the cardholder upon receipt of the closure request without waiting for completion of the billing cycle and accordingly advise him / her to make payment in order to complete the closure process. In such cases, the prescribed timeline of seven working days shall be calculated after excluding the number of days taken by the cardholder to clear the outstanding dues. The card-issuer shall also report to CICs suitably about the closure of the card account.

20. If a credit card has not been used for a period of more than one year, the process to close the card shall be initiated after intimating the cardholder. If no reply is received from the cardholder within a period of 30 days, the card account shall be closed by the card-issuer, subject to payment of all dues by the cardholder. The information regarding the closure of card account shall also accordingly be updated with the Credit Information Company/ies within a period of 30 days.

    Explanation: In addition to financial transactions, any process initiated by the cardholder such as generation of statement, change of PIN, change in transaction

controls, etc., shall be considered for treating a card as 'used'. However, any calls made to the customer care centre, for reasons other than those cited above, shall not be considered towards usage of a card.

21. Subsequent to closure of credit card account, any credit balance available in credit card accounts shall be transferred to the cardholder's bank account. Card-issuers shall obtain the details of the cardholder's bank account, if the same is not available with them.

F. Interest rates and other charges

22. Card-issuers shall be guided by the Reserve Bank of India (NBFCs – Interest Rates on Advances) Directions, 2025 as amended from time to time, while determining the interest rate on credit card dues. Interest charged on credit cards shall be justifiable having regard to the cost incurred and the extent of return that could be reasonably expected by the card-issuer. Card-issuers shall also prescribe an interest rate ceiling in line with other unsecured loans, including processing and other charges, in respect of credit cards as part of their Board approved policy. In case card-issuers charge interest rates which vary based on the payment / default history of the cardholder, there shall be transparency in levying such differential interest rates. The interest rates as prescribed in the board approved policy and the rationale for the same shall be auditable. The card-issuers shall publicise through their website and other means, the interest rates charged to various categories of customers. Card-issuers shall indicate upfront to the credit cardholder, the methodology of calculation of finance charges with illustrative examples, particularly in situations where only a part of the amount outstanding is paid by the customer.

23. Further, the card-issuers shall adhere to the following directions relating to interest rates and other charges on credit cards:

    (1) Card-issuers shall quote Annualized Percentage Rates (APR) on credit cards for different situations such as retail purchases, balance transfer, cash advances, non-payment of minimum amount due, late payment etc., if different. The method of calculation of APR shall be given with clear examples for better comprehension. The APR charged, and the annual fee shall be shown with equal prominence. The late payment charges, including the method of

calculation of such charges and the number of days, shall be prominently indicated. The manner in which the outstanding unpaid amount has been arrived at for calculation of interest shall also be specifically shown with prominence in all the billing statements. These aspects shall also be shown in the Welcome Kit in addition to being shown in the billing statements.

(2) The terms and conditions for payment of credit card dues, including the minimum amount due, shall be stipulated so as to ensure there is no negative amortization. Card -issuers shall not capitalize i.e., levy interest or any other charges, on the unpaid taxes/levies/charges

Illustration: The outstanding amount of a credit card account at the end of month A is ₹10,000. Interest is calculated at a rate of 2% per month. Therefore, if the total outstanding is not paid on or before the due date, it would require payment of interest of ₹200 (2% of 10,000) along with tax and other charges of ₹50 (indicative figure) totalling to ₹250 in addition to the outstanding. The Minimum Amount Due (MAD) for the month A shall be calculated in a way that it does not result in negative amortization. Accordingly, the MAD shall not be less than ₹250 (indicative figure), so as to avoid capitalisation of interest or other charges in the subsequent statement.

(3) Card-issuers shall inform the cardholders of the implications of paying only 'the minimum amount due'. A legend / warning to the effect that "Making only the minimum payment every month would result in the repayment stretching over months / years with consequential compounded interest payment on your outstanding balance" shall be prominently displayed in all the billing statements to caution the cardholders about the pitfalls in paying only the minimum amount due. The MITC shall specifically explain that the 'interest-free credit period' is suspended if any balance of the previous month's bill is outstanding.

(4) For this purpose, card-issuers shall work out illustrative examples and include the same in the Welcome Kit sent to the cardholders and also place it on their website.

(5) Card-issuers shall report a credit card account as 'past due' to credit information companies (CICs) or levy penal charges, viz. late payment charges

and other related charges, if any, only when a credit card account remains 'past due' for more than three days. The number of 'days past due' and late payment charges shall, however, be computed from the payment due date mentioned in the credit card statement, as specified under the Reserve Bank of India (Non-Banking Financial Companies – Income Recognition, Asset Classification and Provisioning) Directions, 2025, as amended from time to time. Late payment charges and other related charges shall be levied, only on the outstanding amount after the due date, and not on the total amount due.

(6) Interest shall be levied only on the outstanding amount, adjusted for payments / refunds / reversed transactions.

Explanation: In case a cardholder makes partial payment or does not clear the total amount due within the payment due date, interest free credit period will be lost, and interest may be levied from the date of transaction on the outstanding amount (adjusted for payments / refunds / reversed transactions as and when credited) and not on the total amount due. Further, late payment fee and other charges relating to delay in payment shall be levied only on the outstanding amount (adjusted for payments / refunds / reversed transactions as and when credited) after the payment due date and not on the total amount due.

(7) Changes in charges shall be made only with prospective effect giving prior notice of at least one month. If a cardholder desires to surrender his / her card on account of any change in charges to his / her disadvantage, he / she shall be permitted to do so without levying any extra charge for such closure, subject to payment of all dues by the cardholder.

(8) There shall not be any hidden charges while issuing credit cards free of charge.

G. Billing

24. Card-issuers shall ensure that there is no delay in sending / dispatching / emailing bills / statements and the customer has sufficient number of days (at least one fortnight) for making payment before the interest starts getting charged. In order to obviate frequent complaints of delayed billing, the card-issuer may consider providing bills and statements of accounts through internet/mobile banking with

the explicit consent of the cardholder. Card-issuers shall put in place a mechanism to ensure that the cardholder is in receipt of the billing statement.

25. Card-issuers shall ensure that wrong bills are not raised and issued to cardholders. In case, a cardholder protests any bill, the card-issuer shall provide explanation and, wherever applicable, documentary evidence shall be provided to the cardholder within a maximum period of 30 days from the date of complaint.

26. Card-issuers shall provide the list of payment modes authorised by them for making payment towards the credit card dues, in their websites and billing statements. Further, card-issuers shall advise cardholders to exercise due caution and refrain from making payments through modes other than those authorised by them.

27. No charges shall be levied on transactions disputed as 'fraud' by the cardholder until the dispute is resolved.

28. Any debit to the credit card account shall be done as per the authentication framework prescribed by the Reserve Bank from time to time, and not through any other mode/instrument.

29. Card-issuers do not follow a standard billing cycle for all credit cards issued. In order to provide flexibility in this regard, cardholders shall be provided option to modify the billing cycle of the credit card at least once, as per cardholders' convenience.

    Explanation: The cardholder shall be provided option to choose any date as the starting or closing day of the billing cycle at least once. Further, card-issuers may provide the option to modify the billing cycle through multiple channels such as helpline, dedicated e-mail-id, Interactive Voice Response (IVR), internet banking, mobile-application and any other modes.

30. Any credit amount arising out of refund / failed / reversed transactions or similar transactions before the due date of payment for which payment has not been made by the cardholder, shall be immediately adjusted against the 'payment due' and notified to the cardholder.

31. Card-issuers shall seek explicit consent of the cardholder to adjust credit amount beyond a cut-off, one percent of the credit limit or ₹5000, whichever is lower,